

*A BOUT WITH LOEWS*

**T**HE CENTRALIZED MARKET FOR STOCK OPTIONS WAS OPENED IN 1973, but they'd been traded in small circles for more than a century. Call options—along with various warrants and other gimmicks known as “securing privileges”—have existed for nearly as long as there have been stocks. In fact, call options were more popular with investors in 1870 than they were in 1970, before the new market was established.

The put option was a more recent refinement, but even it went back at least as far as Russell Sage, the nineteenth-century tycoon who profited from puts. Somewhere I read that Daniel Drew, the robber baron, bought puts on 50,000 shares of Erie in 1872. After the Chicago fire, many put contracts paid off big as the stocks to which they were connected lost value. When you buy a put, remember, you want the stock to go down. When you buy a call, you want the stock to go up.

After the Correction of 1929, stock options got a bad name and were nearly outlawed by the government. For 40 years, the business was carried on by an obscure clique of put and call brokers, until the grand opening of the Chicago Board Options Exchange, an independent entity spun off from the Chicago Board of Trade.

Like many great innovations, this one resulted from luck, foresight, and coincidence. First, the rival Mercantile Exchange already thought up foreign-currency futures, which demanded an imaginative response from the Board of Trade. Second, it was wintertime, and traders in the agriculture pits were bored. (That's the unofficial version, told to me by Mr. Epstein. The official version is that “grain markets were looking for new ways to diversify.”)